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What's News

Business & Finance

◆ **Trump told auto executives** on a call early this month that he would look unfavorably on any increase in car prices prompted by his threatened tariffs, seeding fear among them of some kind of retribution. **A1**

◆ **Ferrari plans to increase** prices by as much as 10% on some of its models, moving to mitigate any hit from American auto tariffs. **B2**

◆ **Major U.S. stock indexes** declined, with the S&P 500, Nasdaq and Dow industrials shedding 0.3%, 0.5% and 0.4%, respectively. **B1**

◆ **Gross domestic product** grew at a slightly faster pace in the last three months of 2024 than previously estimated, the Commerce Department said. **A4**

◆ **H&M posted** lower-than-expected earnings as the fast-fashion retailer's business was impeded by increased discounting and other headwinds. **B1**

◆ **Ubisoft accepted** a \$1.25 billion investment from Tencent for a minority stake in a unit the game developer is forming to house its "Assassin's Creed," "Far Cry" and "Tom Clancy's Rainbow Six" titles. **B3**

◆ **Former Intel chief** Pat Gelsinger said he is joining venture firm Playground as a general partner to focus on semiconductors and speculative investments. **B4**

◆ **Spanish energy company** Repsol said it reached a deal to consolidate its U.K. North Sea upstream business with NEO in a share-for-share tie-up. **B3**

◆ **Freight forwarder** Flexport, founded in 2013, extended its timeline to achieve profitability. **B4**

World-Wide

◆ **HHS Secretary** Robert F. Kennedy Jr. said he would cut 10,000 full-time employees from the department, reshaping the nation's health agencies and closing regional offices. **A1**

◆ **Israel provided** sensitive intelligence from a human source in Yemen on a key Houthi military operative targeted in an attack described in a Signal chat among senior Trump officials. **A4**

◆ **The U.S. deployed B-2** bombers to the Diego Garcia base in the Indian Ocean, a warning to Iran and the Houthis that American strikes could become more intense if the militants' attacks on Israel and Red Sea shipping don't stop. **A8**

◆ **Federal agents moved** Turkish student Rumeysa Ozturk, arrested in Massachusetts, to Louisiana despite a judge's order barring her transfer without notice. **A3**

◆ **Trump targeted** another major law firm with an executive order, going after WilmerHale over its ties to former special counsel Robert Mueller. **A4**

◆ **Trump pulled the** nomination of Elise Stefanik for U.S. ambassador to the U.N., acknowledging that Republicans can't afford to lose her vote in the House. **A3**

◆ **Republican political** operatives are concerned about a special election in Florida, with the race for a solidly red House seat emerging as more competitive than expected. **A3**

◆ **Britain and France** are faltering in their campaign to persuade European allies to send troops to Ukraine to secure any peace deal, as doubts mount about the U.S.'s willingness to guarantee their security. **A7**

CONTENTS Markets & Finance B9
Arts in Review A10-11
Business & Finance B25
Business News B3
Capital Account A2
Crossword A11
Heard on Street B10

Mansion M1-14
Opinion A13-15
Sports A12
Technology B4
U.S. News A2-6
World News A7-8,16



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Health Agency to Cut 10,000 Jobs

Planned revamp by RFK Jr. to reshape department, close regional offices

By LIZ ESSLEY WHYTE
AND NATALIE ANDREWS

WASHINGTON—Health and Human Services Secretary Robert F. Kennedy Jr. said he would cut 10,000 full-time employees from the department he leads, reshaping the nation's health agencies and closing regional offices.

The positions poised for elimination are spread across agencies tasked with responding to disease outbreaks, ap-

proving new drugs, providing insurance for the poorest Americans and more. The cuts are in addition to roughly 10,000 employees who chose to leave the department through voluntary separation offers since President Trump took office, according to the department. Together, the cuts would eliminate about one-quarter of a workforce that would shrink to 62,000. The department would lose five of its 10 regional offices. HHS said essential health services wouldn't be affected.

"We're going to eliminate an entire alphabet soup of departments and agencies while preserving their core function," Kennedy said in a video

posted on the social-media platform X.

The Wall Street Journal reported earlier on Thursday on the planned cuts. HHS workers could learn as soon as Friday whether they are let go, according to a notification sent to the National Treasury Employees Union, which represents many of them.

"The administration's claims that such deep cuts to the Food and Drug Administration and other critical HHS offices won't be harmful are preposterous," said Doreen Greenwald, the union's national president.

The plan would centralize the department's communications, procurement, human re-

sources, information technology and policy planning—work currently distributed throughout the department's divisions and their branches. Doing so would reshape how health agencies function.

In the past, leaders of top health agencies within HHS—such as the Centers for Disease Control and Prevention, Centers for Medicare and Medicaid Services and FDA—considered themselves somewhat independent from the White House and even the

Please turn to page A5

◆ **Workers in limbo after being fired, rehired.....** A5

◆ **Legal challenges attempt to slow education cuts...** A5

Trump Gave Auto Executives Threat On Tariffs

CEOs fear some form of punishment if they respond to levies by raising car prices

By JOSH DAWSEY
AND RYAN FELTON

When President Trump convened CEOs of some of the country's top automakers for a call early this month, he issued a warning: They had better not raise car prices because of tariffs.

Trump told the executives that the White House would look unfavorably on such a move, leaving some of them rattled and worried they would face punishment if they raised prices, people with knowledge of the call said.

Instead, Trump said, they should be grateful for his elimination of what he called former President Joe Biden's electric-vehicle mandate, which involved subsidies and emissions requirements to encourage electric-car production. He made a lengthy pitch for how they would actually benefit from tariffs, two people on the call said, adding that he was bringing manufacturing back to the U.S. and was better for their industry than previous presidents.

The tariffs would be "great," Trump said, according to one of the people.

Please turn to page A2

◆ **Heard on the Street: Used-car prices could ignite...** B10

INSIDE



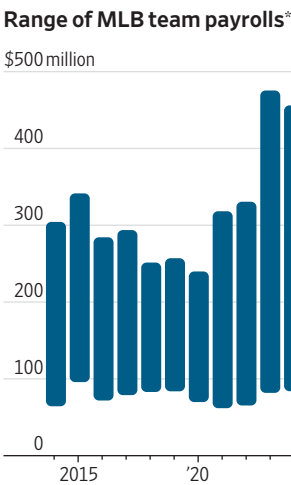
MANSION
North Bay Road offers Miami's hottest stretch of residential properties. **M1**

BUSINESS & FINANCE
Jailed FTX founder Bankman-Fried is transferred from New York City facility. **B1**



OPENING SALVO: New York Yankees catcher Austin Wells blasted a leadoff home run in the bottom of the first inning to give the Bronx Bombers a lead in their season opener against the Milwaukee Brewers at Yankee Stadium on Thursday.

Baseball Has a Wealth-Gap Problem



*Includes luxury taxes on higher payrolls
Source: Spotrac

By JARED DIAMOND

Major League Baseball has never been anyone's idea of a socialist utopia.

Unbound by a salary cap like America's other professional leagues, this sport has long been split into haves and have-nots, with the richest franchises able to attract top talent by offering enormous contracts that their smaller-market counterparts can't easily afford.

But as the 2025 season begins, that enduring wealth gap has become a gaping chasm, creating an even more stratified landscape that is stretching an already-fragile eco-

nomc system to its breaking point.

The widening financial disparity among teams has threatened MLB's competitive integrity, alienated fans in some cities and stoked widespread fears throughout the sport that a labor dispute is looming—with potentially devastating consequences.

Buoyed by an unrivaled local television deal, the Los Angeles Dodgers will outlay nearly a half-billion dollars on player salaries and luxury-tax penalties this year, a record amount. Thanks to hedge-fund billionaire Steve Cohen's largess, the New York Mets aren't far behind, shelling out

upward of \$400 million. Meanwhile, the Miami Marlins have a payroll of just \$70 million, while three other teams—the Tampa Bay Rays, Chicago White Sox and Athletics—all come in under \$90 million.

The simmering discrepancy is now threatening to boil over. Based on a widely used measure of economic inequality known as the Gini coefficient, overall team spending on payroll and luxury tax this season projects to be the most unequal since at least 1985, the earliest reliable data on record.

All of this has left MLB facing an existential question: Please turn to page A12

Even a \$14,000 Handout Can't Get These Singles to Marry

South Korea revs up matchmaking efforts; 'I don't want my parents to find out'

By SOOBIN KIM AND DASL YOON

SEOUL—Lee Eun-jin has a secret fear. The 31-year-old barista worries her parents will find out about all the cash handouts and dating services local governments are offering to reverse South Korea's shrinking birthrate.

"They will make me apply," she says, with a big sigh.

State-sponsored dating has become a phenomenon here. It has spread out across the country as its fertility rate slumps, falling to an average of 0.75

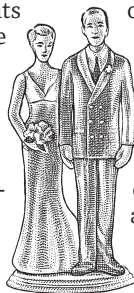
children per woman, about a third of the figure needed to keep the population level stable.

City governments launched matchmaking services and other incentives to boost the

world's lowest birthrate. The national government has expanded parental leave and increased cash payouts to newlyweds. In South Korea, a socially conservative country, marriage is by and large the only route to having children. Fewer than 5% of births come outside of wedlock.

Saha-gu, a district in South Korea's second largest city of Busan, offers singles who match at its events around \$340 to spend on dates. Those who get married receive roughly \$14,000 upfront and are feted with housing subsidies and more cash to cover pregnancy-related expenses and international travel. No participant has claimed the prize for marriage.

Churches and companies Please turn to page A9



Bond issue

Medicaid Spent Billions Covering Same Patients Twice

When recipients signed up in two states at once, insurers often got paid by both; 'it definitely is wasteful'

Health insurers got double-paid by the Medicaid system for the coverage of hundreds of thousands of patients across the country, costing taxpayers billions of dollars in extra payments.

By Christopher Weaver,
Anna Wilde Mathews
and Tom McGinty

The insurers, which are paid by state and federal governments to cover low-income Medicaid recipients, collected at least \$4.3 billion over three years for patients who were enrolled—and paid for—in other states, a Wall Street Journal analysis of Medicaid data found.

The patients were signed up for Medicaid in two states at once, in many cases

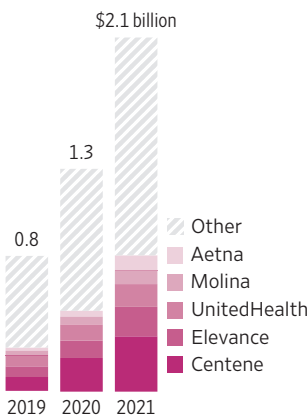
following a move from one to the other. Most were getting all their healthcare services through one insurer in one state, even though Medicaid was paying insurers in both states to cover them.

Private insurers oversee Medicaid benefits for more than 70% of the about 72 million low-income and disabled people in the program. The companies get paid each month for each person they cover. They aren't supposed to get paid if a patient leaves for another state.

Medicaid and Medicare together cost taxpayers more than \$1.8 trillion a year. A Journal investigation last year examined ways in which private insurers have increased costs in Medicare, Please turn to page A9

The five biggest Medicaid insurers got about one-third of duplicate payments.

Duplicative payments, by insurer



Source: WSJ analysis of Medicaid data
ANDREW MOLLICA/WSJ